

THE VARACHHA CO.OP. BANK LTD., SURAT

SANCTION LETTER



RS-4342

DATE : 11/04/2022

TO,

RADHE CREATION(PRO.JAGDISHBHAI BALUBHAI GAJERA)

GROUND FLOOR,PLOT NO.D/50-1,ROAD NO. 21,
HOZIWALA INDUSTRIAL ESTATE,VANZ,
CHORYASI,SURAT,GUJRAT,394240

Dear Sir,

With reference to your Machinery loan application dated **31/12/2021**, We are pleased to inform you that our Bank's Board of Directors have sanctioned the Machinery loan under **TUF's** scheme in their meeting held on **11/04/2022** subject to the following terms & conditions.

Loan Product	Project Cost	Sanction Amount	Effective Rate (%)*	Prime Security
TUF Machinery Loan	1,11,59,759/-	94,50,000/-	8.75	Hypo. of Machinery

*Loan Interest to be serviced as and when revised by BOD or RBI from time to time.

Collateral Security :

Nature of collateral security	Description of security	Value (Rs.In Lakh)	Date of valuation	Remarks
Fixed Deposit	RADHE CREATION (PRO.JAGDISHBHAI BALUBHAI GAJERA) A/c no.00825220040732 Certificate no. 40878, 40879,40880,40881,40883,40884	36.00	31/10/2020	
	RADHE CREATION (PRO.JAGDISHBHAI BALUBHAI GAJERA) A/c no.00825220040732 Certificate no.41309, 41305	40.00	05/04/2022	
Total		76.00		

Personal Guarantee :

Name of the Guarantor	
1	BHARATBHAI GOVINDBHAI BHUVA
2	DIVYANGKUMAR GORDHANBHAI BHUVA

TERMS & CONDITION :

1. Appropriate margin to be maintain at **15.32 %** of quotation amount of Machinery.
2. Applicant have to display the Bank's hyphenation plate on the premises of factory. Godown, office premises. ✓
3. Before getting advances borrower has to submit the relevant permissions / licenses pertaining to the business.
4. Applicant have to give collateral security of title cleared property for value up to 100% of the advances.



1/3

FOR, RADHE CREATION

05/04/2022

PROPRIETOR

24. Borrower will not change the partners without bank's prior-permission. Any change in the firm will have to intimate bank immediately.
25. Borrower has to maintain the level of capital, unsecured loans at the time of sanction the loan ,can not withdraw without Bank's permission and declaration to be submitted that they will maintain the level of capital & unsecured till the currency of bank advance.
26. Borrower and their guarantors have execute the documents in the bank premises by personally visit of the bank premises.
27. If loan will be paid before the due date or take over to anywhere, penalty will be imposed as per bank's rule.
28. Borrower and guarantors shall furnish a consent letter to the bank in the prescribed format, authorizing the Bank for disclosure of their names,in the event of borrower becoming defaulter, to CIBIL or other agencies as per RBI guidelines.
29. Declaration regarding statutory dues paid till date by the borrower.
30. Mortgage deed and release deed will drafted by the bank's panel advocate and also registered to the registrar of assurance It is compulsory.
31. Letter of no lien and free access to be obtained from the owner of the premises in case machinery is installed in rented premises.
32. If any diversion in the purpose of advance is found,If miss-utilized then Bank will recover total advance with interest there on at the maximum lending rate of the Bank ie @12.50
33. If any of the above terms & conditions and documents not fulfilled then bank reserve the right to recall the entire loan amount with interest and charges there on.
34. Any deviation OR breach of terms of sanction letter, penalty will be levied @ 1% of Sanction amount.

For The Varachha Co-op. Bank Ltd.,Surat.


General Manager



ACCEPTANCE

We undersigned accept and confirm that all the above terms & conditions have read/ have read to us as per this approval letter in connection of our loan application.

Guarantors

Applicant/Borrower
FOR, RADHE CREATION

1. સચિન મનમોહનભાઈ રાધેક્રેશન

જગદીશભાઈ ના. રાધેક્રેશન

PROPRIETOR

2. દેવેશભાઈ ના. રાધેક્રેશન



FOR, RADHE CREATION

જગદીશભાઈ ના. રાધેક્રેશન

PROPRIETOR

5. Repayment installment will be **66** monthly installments(EMI). of **Rs.180899/-** Moratorium period will be allowed of **0** months. During moratorium period Interest will be charged to the A/c. on monthly rest and will be recovered on every month
6. This sanction letter is valid up to **180 days** only.
7. If the installment are not paid regularly than bank will charge penalty as decided by the Bank.
8. Interest and penal interest will be recovered first from the installment paid.
9. Payment will be made directly to the supplier from the loan account.
10. Borrower has to inform the bank about purchase of machinery and have to submit original bills, receipts, bill of entry, bill of lading, commercial invoice etc.,
11. In case of **CLCS-TUS**, in the event of unit becoming defaulter in repayment of loan and relevant a/c. Identified **N.P.A.** OR disposed off machinery before **FIVE** years from the date of purchase, OR beneficiary unit shall not remain in function at least during the repayment period of loan, than subsidy will be immediately returned to the Ministry. To get the relevant subsidy is solely borrowers responsibility, bank will not be responsible for any subsidy.
12. In case of **TUF'S** scheme unit shall not remain in function at least **THREE** years **from the date of subsidy received**, than subsidy will be immediately returned to the Textile Ministry. To get the relevant subsidy is solely borrower's responsibility, bank will not be responsible for any subsidy.
13. Loan & Advances rules, all other charges, rate of interest will be reviewed / revised from time to time by the Board of Directors of the Bank, without any notice, it will be bound to you.
14. Advance will have to utilized only for the purpose for which the advance have been sanctioned. If it is found mis-utilized then Bank will recover total advance with interest thereon.
15. Take over/ transfer /precloser of the Cash Credit to any other bank / financial institute will not be allowed till three years. and if it is transferred after 3 years to any other financial institute, penalty will be levied @ **1%** on on outstanding Balance.
16. Borrower have to execute debit Balance conformation in every **SIX** month.
17. Borrower have to submit audited financial statements / ITR every year for review of advances.
18. Bank will inspect the Machinery / Hyphenation articles at any time by their official or by chartered account appointed by the bank.
19. Applicant & their guarantors have to obtain the shares of the bank as per rules of the bank.
20. Applicant & their guarantors' assets offered as security (prime & collateral) for the facility, to kept fully insured comprehensively. A copy of the policy containing the agreed bank's clause to be submitted to the Bank. If not insured by borrower in time, bank will debit premium to borrower's A/c. and renew the insurance but it is not bank's responsibility to do so. Any thing happens bank will not be responsible for the loss due to non insurance. It is sole responsibility on borrower's part.
21. The applicant to bear registration, modification and satisfaction charges in connection with registration of their mortgage property with **CERSAI**. Bank's charge with registrar of assurance and **CERSAI** to be registered on prime and mortgage properties.
22. Take over/ transfer /precloser of the loan to any other bank / financial institute will not be allowed till **THREE** years of loan A/c. Opened and also will not be allowed to sale out/transfer/rent out to any other person till the currency of loan.
23. Borrower have sole/exclusively banking with our bank and have to submit undertaking to this effect.

